The impossibility of paternalistic policy

Paternalism is the idea that an altruistic government understands the desires of its populace and seeks to do good for them. The assumption is that a paternalistic government is like a parent. It knows what a person desires, works in her best interest, and does nice things for the person.

But the only power of a government is a coercive power. A government can force people to do certain things, and a government can force people to pay taxes. State paternalism can then only be in favour of some and not all. A government that makes person 1 happy by forcing person 2 to gift her Rs 1000 is a government that makes person 2 unhappy.

We need to change course, from viewing government as a benign paternalistic agent that means well, to a more sceptical view of government. We need the state in order to address market failure, and we must give the state the monopoly of violence; but we have to be sceptical about the things that will be done by the state.

Summing up

There is a long history of failure in the field of public policy. Over and over in history, we see governments that try to do things and fail. There is a ‘law of unintended consequences’, where an initiative often ends up inducing an outcome that is different from what was intended, and indeed was completely unanticipated.

The state is a coercive agent. At the heart of market failure is a failure of coordination, of a lack of negotiation. There is a tension at the core, where problems of coordination are not easily solved through the tool of coercion.

Some people might like to have a paternalistic government. Coercive power gives the state the ability to take from one and give to another, and this will make some people happy at the expense of others. Paternalism by the government is an impossibility.